Commercial and Pricing Guidelines FY2026

Deal desk policy | Applies to all proposals above $250K | Effective 1 January 2026, revised 1 July 2026

1. Pricing models and when to use them

Model	Use when	Avoid when	Typical GM target
Time & materials	Scope is uncertain; discovery or agile build	Client demands cost certainty	30-34%
Fixed price (milestones)	Scope stable and well understood	Data migration with unknown quality	26-30% + contingency
Fixed price per wave	Repeatable waves (migration, rollout)	First wave not yet designed	28-31%
Managed service (fixed fee)	Run and support with known volumes	Volumes unknown or volatile	24-28%
Managed capacity	Steady-state platform operations	Short engagements	27-30%
Outcome-linked	Measurable KPI the client controls jointly	KPI not measurable within 12 months	Base 22% + bonus

2. Discount authority

Discount from list	Approver	Turnaround
Up to 5%	Account owner	Same day
5-12%	VP Sales + Sales Ops (Daniel Cho)	2 business days
12-18%	CRO (Laura Chen) + deal desk	3 business days
Above 18%	CEO and CFO	5 business days

3. Fixed-price risk contingency

Fixed-price bids carry a risk contingency of 8-15% of build effort, set by the deal desk from the risk register. Data migration scope must include at least two mock conversions. The Atlas overrun (PRJ-3101, estimate-to-complete raised by $410K in September 2026) is the reference case for loyalty and customer data migrations.

4. Partner funding

- Hyperscaler funding (ECIF, Azure Innovate, MAP) is shown separately and never netted from the price.
- Funding must be applied for before the SOW is signed; approvals expire - track in the partner funding tracker.
- Partner MDF for marketing is claimed by Marketing, not deal teams.

5. Price-to-win reviews

All bids above $1M need a price-to-win review with competitor rate intelligence before submission. In FY2026 year to date, 4 of 11 losses had price as a primary reason (see Pricing Benchmarks and Deal Pricing Log).